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Act No. 170 (H.955). An act relating to next steps in transforming Vermont's education system

Subjects: Education; school districts; education finance; union school districts; prekindergarten education; cooperative education service areas

This act makes several amendments to Vermont's education and tax laws as the next steps in transforming Vermont's education system.

This act changes the name of boards of cooperative education services (BOCES) to cooperative educational service areas (CESAs) and creates seven CESAs in statute and assigns each supervisory union to a CESA. It specifies certain services a CESA is required to offer its members upon request, and it also creates a process for a supervisory union to request a change in CESA membership. This act also increases the amount of a CESA start-up grant from \$10,000.00 to \$15,000.00.

This act requires the Vermont Learning Collaborative (VTLC) CESA to hire union school district formation facilitators to assign each school district in Vermont to a merger committee to study the advisability of forming a unified union school district using the procedures contained in 16 V.S.A. chapter 11 for union school district exploration and formation. Merger committees are required to issue a final report and recommendation on or before September 1, 2027, and if the recommendation is that it is advisable to form a new unified union school district, a vote to form the proposed unified union school district shall occur on March 7, 2028. Facilitators are required to assign school districts to merger committees according to certain criteria, including suggested groupings contained in the act. This act creates a process to enable an isolated school district to request legislative action to merge such school district with a unified union school district. This act also requires several legislative reports related to the merger committee process, including status reports from the lead facilitator and Agency of Education, a final report from the lead facilitator, a report regarding isolated school districts after mergers from the State Board of Education, and a report from the Office of the Secretary of State regarding the resources and supports needed for the March 7, 2028, unified union school district vote. This act includes several appropriations for the work required to stand up new CESAs and to support the work of the merger committees, using money appropriated for education transformation in 2025 Acts and Resolves No. 73. This act also prohibits a town or group of towns from withdrawing from a union school district through fiscal year 2035.

This act amends the contingencies created in 2025 Acts and Resolves No. 73 for the foundation formula and related tax provisions to become effective and delays the effective date for those provisions and related transitional measures by one year.

This act requires Building Bright Futures (BBF) to submit a report to the General Assembly regarding BBF's work under the federal Preschool Development Grant and

associated data collection and requires the Joint Fiscal Office (JFO) to contract for a cost of care analysis to account for the provision of prekindergarten education within Vermont's education finance system, with estimates for the current full cost of providing prekindergarten education for eligible children. It also requires JFO to submit a report to the General Assembly regarding different funding mechanisms that may be used to distribute funds for education costs within the new financing formula. This act also adds BBF to the entities charged with monitoring Vermont's prekindergarten education program.

This act requires students in tuitioning districts to complete a form developed by the Agency of Education in order to obtain the information needed for the Agency to compute the weighting categories required under Vermont's education finance system.

This act states the General Assembly's intent to ensure that Vermont complies with federal maintenance of efforts and other federal requirements regarding special education in any education transformation, including any education funding reform.

This act prohibits a school eligible to receive public tuition from requiring tuition from a student attending the school on public tuition above the amount of tuition paid by a school district under the foundation formula. This provision is contingently effective at the same time as the foundation formula, and the act also prospectively repeals this prohibition if the General Assembly fails to enact legislation to add a secondary student weight after receiving evidence that it costs more to educate a secondary student in the report required pursuant to 2025 Acts and Resolves No. 73, Sec. 45a. This act also requires the Agency of Education to submit a report regarding fees charged by public and approved independent schools with recommendations for any guardrails necessary for the charging of such fees under the foundation formula.

This act raises the threshold at which a union school district study committee's budget requires voter approval from a budget that exceeds \$50,000.00 to a budget that exceeds \$500,000.00.

This act requires updates to several rules, including updates by the State Board of Education to the Education Quality Standards rules to establish criteria for identifying schools as small by necessity or sparse by necessity, updates to the District Quality Standards rules by the Agency of Education to establish criteria for intradistrict budgeting under the foundation formula and recommendations for reserve fund account standards, updates to the length of school day and year rules by the State Board of Education to update the criteria for the length of a school day for each grade, and adoption of school construction and capital outlay rules by the Agency of Education to address prioritization and bonus incentives under the State Aid for School Construction Program.

This act requires the Agency of Education to submit a report to the General Assembly regarding school transportation.

This act amends the definition of "small school" for the purpose of small school support grants to focus on average grade size rather than total pupil count.

This act prohibits a school's noncompliance with class size minimum requirements from being held against the school until the Education Quality Standards rules are

updated to reflect the addition of class size minimums on July 1, 2027, whichever date occurs first.

This act adds several definitions to Title 16 of the Vermont Statutes Annotated, including “average class size,” “class,” “content area,” “full-time equivalent class,” “school,” “school day,” “student,” and “teacher of record.” It requires the State Board of Education to engage in rulemaking with definitions for these same terms and prospectively repeals the statutory definitions of these terms on the July 1 following the effective date of the adoption of such rules.

This act establishes regional assessment districts for member municipalities to conduct mass reappraisals jointly. Regional assessment district boundaries are not yet established and will be recommended by the Department of Taxes on December 15, 2029. Regional assessment districts will commence operation on January 1, 2031. Regional assessment district appeals boards will take the place of boards of civil authority for hearing property valuation appeals starting July 1, 2031.

This act creates new property tax classifications for nonhomestead residential and nonhomestead nonresidential properties. The new classification system enables differing tax rates for properties classified as homestead, nonhomestead residential, and nonhomestead nonresidential. The system will be administered by the Department of Taxes and municipalities using grand list data and a new dwelling use attestation form.

This act takes several steps to implement the State Aid for School Construction Program. It appropriates \$500,000.00 in fiscal year 2027 to staff the Agency of Education’s School Construction Division; appropriates \$800,000.00 in fiscal year 2027 for the Facilities Master Plan Grant Program; and tasks the Agency of Education with requesting permanent funding for the School Construction Division in fiscal year 2028. This act also tasks the State Aid for School Construction Advisory Board with providing a report to the General Assembly by December 1, 2026, that identifies opportunities for the construction or renovation of regional high schools.

This act amends the State Aid for School Construction Program to expand the forms of State aid available under the Program to include State bonding support. This act updates the application and appropriation process for State aid to account for State bonding support and adds as a new eligibility condition that an applicant seeking State aid for older facilities conduct polychlorinated biphenyls (PCB) testing. This act expands the amount of State aid available under the Program to cover from 30 to 75 percent of the total approved cost of a project but restricts aid above the base amount to school districts that result from a merger identified as advisable in the merger committee process or that have an average daily membership of at least 2,000 students. It also repeals the prohibition on State aid for projects resulting from significant deferred maintenance.

Contingently effective at the same time as the foundation formula, this act creates legacy debt aid to cover 75 percent of each school district’s annual debt service costs on school construction debt as of December 31, 2024, provided that the district is not identified as a bad faith participant in the merger committee process. This act amends the definition of “supplemental district spending” to include without voter approval a school district’s legacy school construction debt that is not covered by legacy debt aid and to

exempt from the statutory cap on spending all school construction expenditures. This act also amends the ballot language both for bonding authorization and for supplemental district spending to subject school construction funding to one-time supplemental district spending authorization and to provide voters information on the distinction between noncapital and capital supplemental district spending expenditures and on the effects school construction funding authorization may have on local tax rates.

In addition to delaying the rollout of the foundation formula and related tax provisions and transitional measures, this act delays by one year the Department of Taxes' report on an alternative homestead exemption structure. It also narrows the membership and scope of the Education Fund Advisory Committee and delays the deadline for the Committee's first meeting to July 15, 2030.

Multiple effective dates, beginning on June 18, 2026